

consensus for change.⁴⁰ In keeping with our report, the active mandate was not removed and the fund came through the experience more robust. In contrast to CalPERS, Norway was not caught up in the real estate bubble. The Ministry of Finance had studied the feasibility of real estate investment during the span of rising property prices in the mid-2000s. It approved the fund's investments in real estate only in 2010, after real estate had crashed.⁴¹ And when it did so, it moved cautiously—placing a 5% limit of real estate on the total portfolio, aiming to do as much as possible in-house for cost savings, and adding properties slowly.

As an investor, Norway moves slower than a supertanker. Usually long lags are a disadvantage, but the delays induced by Norway's need for broad-based consensus are an advantage: they allow the effects of business cycle variation to be mitigated and they partly counteract the tendency for pro-cyclical investment behavior. The Norwegian Ministry of Finance builds the framework for NBIM, its agent, to make investment decisions, but the Ministry of Finance does not itself make investment decisions. These decision processes are owned by Parliament, which represents the ultimate principals—the Norwegian people. The lengthy decision-making process avoids the tendency to make ad hoc modifications to long-term strategy. It helps Norway stay the course.

Face Up to Noncommercial Considerations

Many public pension funds and sovereign wealth funds have important noncommercial considerations. The board may want to take account of these in setting its investment objectives and strategies. Noncommercial considerations can hinder investment performance, but can be important to give the board legitimacy in the eyes of the underlying owner. The board itself, after all, is an agent. Any loss from this constraint should be measured.

In reforming NYSCRF, these noncommercial goals could be considered. (It would be even better if the noncommercial goals were eliminated as constraints can only reduce investment returns; see chapter 3.) The role of the NYSCRF as a public asset should be reflected in the board's investment policies. In the case of NZSE, a wider mandate comes from its enabling legislation, which states that the Guardians must invest the fund in a manner consistent with best-practice portfolio management, maximizing return without undue risk, and avoiding prejudice to New Zealand's reputation as a responsible member of the world community. The Guardian Board has determined that excluding companies manufacturing cluster munitions and nuclear weapons is consistent with the latter.⁴² CPPIB, in contrast, has no noncommercial considerations and has an investment-only objective.

⁴⁰ Ang, Goetzmann and Schaefer (2009). It recommended the fund take up factor investing; see chapter 14.

⁴¹ <http://www.regjeringen.no/en/dep/fin/press-center/press-releases/2010/Government-Pension-Fund-Global-to-invest-in-real-estate.html?id=594019>

⁴² <http://www.nzsuperfund.co.nz/news.asp?pageID=2145831983&RefId=2141737352>